

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

<think> <think> firstly , in order to find the profit in his transaction , i will have to get the initial price and add the cost of the repairs , and then subtract the resale value ; now , since the resale value increased by 150% , i 'll calculate that as well , i 'll do the sales price as initial price plus repairs multiplied by the sum of 1 and the percentage increase (100% + 150%) , so for that , i 'll use the formula of sales price = initial price + repairs * (1 + 150%) and sales price - initial price - repairs will give the amount of profit ; first , i 'll calculate the increase in the resale value by multiplying the initial price and repair cost by 1.5 and then i 'll use that in the next step </think> <answer> sales price : \$ 80,000 + 50,000 = \$ 130,000 ; increase in resale value = 1.5 * 130,000 = \$ 195,000 ; profit (sales price - initial price - repairs) = 195,000 - 130,000 - 50,000 = \$ 15,000 </answer>

